

Strides for Multifaceted Growth

INTERIM FINANCIAL
STATEMENTS
FOR THE THREE MONTHS ENDED
31ST MARCH 2023



STATEMENT OF COMPREHENSIVE INCOME

For the period ended 31 March

	<u>Note</u>	Unaudited 2023 Rs	Unaudited 2022 Rs
Gross written premium	3.	730,146,495	608,876,917
Premium ceded to reinsurers	3.	(23,680,453)	(10,094,950)
Net written premium		706,466,042	598,781,967
Other revenue			
Fees and commission income		6,567,656	8,563,477
Investment income	4	145,100,096	74,402,638
Fair value gains		3,717,667	1,479,427
Other operating revenue		3,791,948	1,388,382
Total Other Revenue		159,177,367	85,833,924
Total net revenue		865,643,409	684,615,891
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(402,597,653)	(132,670,698)
Net change in insurance claims outstanding		5,494,738	(20,234,936)
Underwriting and net acquisition costs		(153,107,839)	(166,508,677)
Change in contract liabilities - life fund		(10,246,378)	(86,750,515)
Other operating, administrative and selling expenses		(223,765,502)	(232,815,192)
Depreciation and amortisation		(21,888,532)	(19,240,077)
Total benefits, claims and expenses		(806,111,166)	(658,220,095)
Profit before tax		59,532,243	26,395,796
Income tax expenses		(16,871,720)	-
Profit for the period		42,660,523	26,395,796

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the period ended 31 March	Unaudited 2023 Rs	Unaudited 2022 Rs
Profit / (Loss) for the Year	42,660,523	26,395,796
Other Comprehensive Income		
Items that are or may be reclassified to profit or loss		
Net change in fair value of available-for-sale financial assets	48,037,016	(43,795,513)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	1,693,548	(25,768,511)
Net change in fair value of AFS reserve transferred to insurance liabilities	(1,693,548)	25,768,511
Net change in fair value of available for sale financial assets of insurance liabilities transferred to the income statement	-	-
Items that will never be reclassified to profit or loss		
Actuarial loss on defined benefit plan	-	-
Other comprehensive income, net of tax	48,037,016	(43,795,513)
Total comprehensive income for the year, net of tax	90,697,539	(17,399,717)

The accounting policies and notes as set out in pages 6 to 9 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at	Notes	Unaudited 31.03.2023 Rs.	Audited 31.12.2022 Rs.
Assets			
Intangible assets		1,012,739	1,118,327
Property, plant and equipment		75,242,720	75,284,032
Right of use assets	6	158,619,120	163,439,549
Deferred tax asset		-	-
Financial assets	7	3,775,321,520	3,681,717,640
Loans to life policyholders		319,061,922	321,812,161
Reinsurance receivables		1,430,284	1,902,666
Amounts due from related parties		25,312,033	21,654,039
Premium receivable		248,181,870	99,334,584
Other assets		91,168,934	83,994,218
Cash and cash equivalents		98,619,731	169,799,679
Total Assets		4,793,970,873	4,620,056,895
Equity and liabilities			
Equity			
Stated capital		675,564,870	675,564,870
Retained earnings		1,501,106,244	1,458,445,721
Available for sale reserves		(168,655,936)	(216,692,952)
Total Equity		2,008,015,178	1,917,317,639
Liabilities			
Insurance contract liabilities	8	2,253,798,925	2,241,859,388
Employee benefit obligation		19,006,842	17,057,855
Reinsurance payables		42,142,182	32,402,323
Lease liabilities	6	170,866,409	175,394,254
Amounts due to related parties	10	36,908,875	30,795,272
Other financial liabilities		157,032,149	117,550,937
Other liabilities		106,200,313	87,679,227
Total Liabilities		2,785,955,695	2,702,739,256
Total equity and liabilities		4,793,970,873	4,620,056,895

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

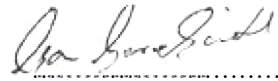


(S. H. Dulanjith Kaweesha)
 Financial Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



(Dilukshika N Fernando)
 Director



(Lasinee Serasinhe)
 Director

The accounting policies and notes as set out in pages 6 to 9 form an integral part of these financial statements.

12 May 2023
 Colombo

STATEMENT OF CASH FLOWS

For the period ended 31 March

	Notes	Unaudited 2023 Rs.	Unaudited 2022 Rs.
Cash flows from operating activities			
Insurance premium received		581,299,209	609,939,471
Reinsurance premium paid		(13,940,595)	(15,637,564)
Insurance benefits and claims paid		(416,538,248)	(146,598,054)
Reinsurance claim received		13,940,595	15,637,564
Other operating cash flows		(220,101,753)	(383,330,409)
Cash generated from operating activities		(55,340,792)	80,011,008
Employee benefits paid		(117,250)	-
Net cash generated from operating activities		(55,458,042)	80,011,008
Cash flows from investing activities			
Acquisition of financial investments		(9,382,362)	(56,469,273)
Acquisition of property, plant and equipment		(6,339,464)	(8,268,365)
Net cash flows used in investing activities		(15,721,826)	(64,737,638)
Net cash flows used before financing activities		(71,179,868)	15,273,370
Cash flows from financing activities			
Payment of lease liability		-	-
Net cash used in financing activities		-	-
Net increase / (Decrease) in cash and cash equivalents		(71,179,868)	15,273,370
Cash and cash equivalents at the beginning of the year		169,799,599	150,015,184
Cash and cash equivalents at the end of the year		98,619,731	165,288,554

STATEMENT OF CHANGES IN EQUITY

	Stated Capital Rs.	AFS reserve Rs.	Retained Earnings	Total Rs.
As at 1 January 2022	675,564,870	-26,545,650	1,422,126,187	2,071,145,407
Profit for the year	-	-	26,395,796	26,395,796
Actuarial loss on defined benefit plan	-	-	-	-
Net change in fair value of available-for-sale financial assets	-	(43,795,513)	-	(43,795,513)
Total comprehensive income	-	(43,795,513)	26,395,796	(17,399,717)
As at 31 March 2022	675,564,870	(70,341,163)	1,448,521,983	2,053,745,690
As at 1 January 2023	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
Profit for the year	-	-	42,660,523	42,660,523
Actuarial loss on defined benefit plan	-	-	-	-
Net change in fair value of available for-sale financial assets		48,037,016	-	48,037,016
Total comprehensive income	-	48,037,016	42,660,523	90,697,539
As at 31 March 2023	675,564,870	(168,655,936)	1,501,106,244	2,008,015,178

1. Figures in the these Condensed Interim Financial Statements for the period ended 31st December 2022 are provisional and unaudited.

2. The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2022 have been followed in preparation of these Condensed Interim Financial Statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

- 2.1. The Unaudited Condensed Interim Financial Statements for the quarter ended 31st March 2023 were authorized for issue by the board of directors on 12th May 2023.

3. NET WRITTEN PREMIUMS

**3 (a). Gross Premiums on Insurance Contracts
For the period ended 31 March**

	2023	2022
	Rs	Rs
Conventional Policies	730,146,495	608,876,917
Total Gross Written Premiums	730,146,495	608,876,917

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3 (b). Premiums Ceded to Reinsurers on Insurance Contracts

	2023	2022
	Rs	Rs
Conventional Policies	(23,680,453)	(10,094,950)
Total Premiums Ceded to Reinsurers	(23,680,453)	(10,094,950)
Total Net Written Premiums	706,466,042	598,781,967

4 INVESTMENT INCOME

	2023	2022
	Rs	Rs
Held to maturity financial assets	45,236,938	27,858,710
Loans and receivables	81,233,122	38,277,522
Available for sale financial assets	18,630,036	8,266,406
Total Investment Income	145,100,096	74,402,638

5. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	2023	2022
	Rs	Rs
Profit /(Loss) for the Year	42,660,523	26,395,796
Weighted Average Number of Ordinary Shares (Nos)	66,230,407	66,230,407
Basic earnings per ordinary share Rs	0.64	0.40

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

6. RIGHT OF USE ASSETS AND LEASE LIABILITIES

6.1 Right of use Lease Asset

	31-Mar-23	31-Dec-22
	Rs	Rs
Opening balance	163,439,549	129,675,417
Additions of right of use lease asset during the period	11,786,011	78,880,660
Depreciation for the period	(17,587,170)	(68,236,528)
Advance payment for leases	980,730	23,120,000
Closing balance	158,619,120	163,439,549

6.2 Lease Liability (Lease Creditor)

	2023	2022
	Rs	Rs
Opening balance	175,394,254	157,443,360
Additions during the period	11,786,010	78,880,659
Finance cost recognised in profit and loss	6,478,098	24,480,897
Lease payments	(22,791,953)	(85,410,662)
Closing balance	170,866,409	175,394,254

7. FINANCIAL ASSETS

The following table consists of the fair values of the financial investments together with their carrying values.

As at		31-Mar-23 Carrying value Rs	31-Mar-23 Fair value Rs	31-Dec-22 Carrying value Rs	31-Dec-22 Fair value Rs
Loans and receivables	8 (a).	2,195,740,581	2,195,740,581	2,153,718,672	2,115,889,001
Available-for-sale financial assets	8 (b).	358,749,540	358,749,540	307,925,670	307,925,670
Held to Maturity	8 (c).	1,168,569,752	1,168,569,752	1,130,191,222	831,534,615
Fair Value through profit & Loss	8 (d).	52,261,647	52,261,647	89,882,076	89,882,076
Total financial instruments		3,775,321,520	3,775,321,520	3,681,717,640	3,345,231,362

7 (a). Loans and receivables

	2023 Rs.	2022 Rs.
Amortised cost		
Debentures	679,424,263	794,531,247
Fixed deposit	855,043,352	784,289,965
Reverse repurchase agreements	487,494,049	404,752,229
RPAF loan	100,000,000	100,000,000
Treasury bills	73,778,917	70,145,231
	2,195,740,581	2,153,718,672

7 (b). Available for sale financial assets

	2023 Rs	2022 Rs
Treasury bonds	195,424,990	192,297,670
Quoted equities	163,324,550	115,628,000
	358,749,540	307,925,670

7 (c). Held to Maturity

	2023 Rs	2022 Rs
Treasury bonds	1,168,569,752	1,130,191,222
	1,168,569,752	1,130,191,222

7 (d). Fair Value Through Profit & Loss

	2023 Rs	2022 Rs
Unit trust	52,261,647	89,882,076
	52,261,647	89,882,076

8. INSURANCE CONTRACT LIABILITIES

	2023 Rs	2022 Rs
Balance as at beginning	2,241,859,388	1,897,003,107
Change in contract liabilities life fund		
Increase in Life insurance fund before surplus transfer	10,246,378	277,169,203
Surplus transferred from share holders	-	131,691,505
Increase in Life insurance fund	2,252,105,766	2,305,863,815
Movement in AFS reserve transferred to life fund	1,693,159	(64,004,427)
Balance as at end of the Periods	2,253,798,925	2,241,859,388

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

9. (a) Current year tax charge	2023 Rs.	2022 Rs.
Current income tax		
Income tax on current year's profit	16,871,720	-
Total current income tax	16,871,720	-
Deferred income tax		
Deferred tax assets	-	-
Deferred taxation	-	-
Total income tax expense	16,871,720	-

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	2023 Rs	2022 Rs
Richard Pieris & Company PLC	Ultimate Parent	10,782,832	10,782,831
Richard Pieris Distributors Limited	Fellow Subsidiary	25,770,430	19,656,828
Arpico Interiors (Pvt) Ltd	Fellow Subsidiary	179,475	179,475
Arpitech (pvt) Ltd	Fellow Subsidiary	176,138	176,138
		36,908,875	30,795,272

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31 March 2023, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

13 Share Information**Top 20 Shareholders****As at 31 March 2023**

Name of the Shareholder	Shareholding	%
1. Kegalle Plantations Limited	26,685,001	40.29
2. Richard Pieris Distributors Limited	17,790,001	26.86
3. Richard Pieris And Co Ltd	15,125,001	22.84
4. Mr. D.G. Wijemanna	1,587,105	2.40
5. Mrs.T.T.A.De Silva Weerasooria	763,254	1.15
6. Mr.C.S.N.Silvapulle	668,399	1.01
7. Mr. Mr.J.P.Paul	343,113	0.52
8. T R L Holdings (Pvt) Limited	300,000	0.45
9. Mr.A.P.Arumugampillai Annamalai Pillai	200,000	0.30
10. Mr.D.P.Navaratnam Dinesh Prakash	181,400	0.27
11. Mr.T.A.N.Gomis	140,257	0.21
12. Peoples Leasing & Finance Plc/Mr.K.J. Gamage	135,261	0.20
13. Mr.S.A.Obeyesekere Siridev Ajit	103,300	0.16
14. Trading Partners (Pvt) Ltd Trading Partners (Pvt) LTD	100,000	0.15
15. Flybrunei Sdn Bhd Flybrunei Sdn Bhd	99,700	0.15
16. Mr.M.L.A.Benedict Mark Lawrence Ajit	93,500	0.14
17. Mr.S.D.L.K.Lakmal	86,641	0.13
18. Peoples Leasing & Finance PLC/Mr.K	86,531	0.13
19. Mr.B.T.De S Weerasooria	80,000	0.12
20. Mr.H.A.S.Madanayake Hiran Arjuna Surendra	78,300	0.12
Other	1,583,643	2.40
	66,230,407	100

Public Shareholding

Company is listed on the Colombo Stock Exchange and the percentage of shares held by the public, the number of public shareholders and the float adjusted market capitalization is as given below:

31.03.2023

Public shareholding (%)	10.01%
Number of Shares	6,630,404
Public shareholders	734
Float Adjusted Market Capitalization (Rs. (000))	151,819

The company is in compliance with Minimum Public Holding Requirements as at reporting date under option 2 of CSE listing rule 7.13.1(b).

Directors' Shareholdings

There is no share holding by the directors as 31st December 2022

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

	31.03.2023	31.12.2022
Net Asset Value Per Share	30.3	31.6
Highest Price Per Share for the Interim Period	23.4	23.4
Lowest Price Per Share for the Interim Period	21.7	17.5
Last traded Price Per Share	22.9	22.7